

million), which likely justifies a price-to-earnings multiple of 14 or higher, meaning the market capitalization remains unchanged at \$500 million. The shareholders receive \$150 million and retain stock with the same market capitalization, \$500 million. Although note that the extent to which the market already gives the company some credit for the cash, the amount unlocked would be reduced.²⁰

There is no way to know for sure how much credit the market gives, so there is no way to know how much value will be unlocked. But the range is no less than zero and no more than [the value of the cash distributed].

The caveat is that to the extent that this would reflect Apple adopting a better capital-allocation policy such that cash and future cash aren't trapped indefinitely, the market might reward Apple with a higher P/E ratio.

Einhorn argues that this analysis is most useful for companies that are inappropriately capitalized because the concept of intrinsic value “presumes that the cash flows generated by the enterprise are optimally financed so as to minimize the firm’s cost of capital.” In practice, most publicly traded companies are appropriately capitalized, and consequently trade at market valuations commensurate with intrinsic value. This idea does not therefore improve the intrinsic value of most companies. However, where the company is not appropriately capitalized, where it is not minimizing its cost of capital, intrinsic value can be improved by reducing excess cash. In so doing, the market price discount is also likely to be removed, and the company trade closer to its fully realized intrinsic value. The utility of the enterprise multiple is that it identifies precisely this type of company, undervalued with an unexploited intrinsic value. If no activist emerges to improve the unexploited intrinsic value, other corrective forces act on the market price to generate excellent returns in the meantime.

The coda to Einhorn’s and Icahn’s campaigns to have Apple pay out \$150 billion in excess capital clearly demonstrates the power of this idea. After both had prodded Apple for 6 months, writing letters and meeting with Apple chief executive Tim Cook, Apple initiated a buyback in 2013. By February 2014 it had repurchased \$40 billion of stock, a record amount for any company over a 12-month span.²¹ Shortly afterward, Icahn withdrew his plan to have the company undertake the bigger buyback he had proposed, writing in an open letter to Apple shareholders, “We see no reason to persist with our nonbinding proposal, especially when the company is already so close to fulfilling our requested repurchase target.”²² After Icahn had withdrawn his plan, Apple announced in April that it would in fact